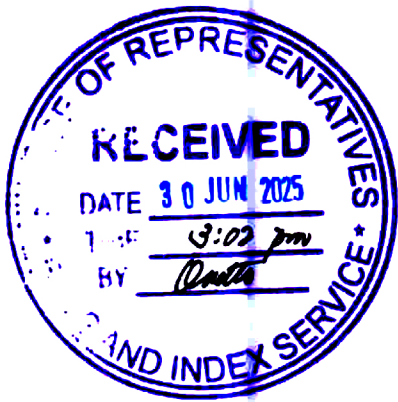


Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City

TWENTIETH CONGRESS
First Regular Session

HOUSE BILL NO. 659



Introduced by: Hon. Keith Micah "Atty. Mike" D.L. Tan

**AN ACT
PROVIDING A NATIONAL STRATEGY FOR THE DEVELOPMENT OF ARTIFICIAL
INTELLIGENCE, CREATING FOR THE PURPOSE THE NATIONAL CENTER FOR
ARTIFICIAL INTELLIGENCE RESEARCH, AND APPROPRIATING FUNDS
THEREFOR**

EXPLANATORY NOTE

In line with the report "Developing an AI Governance Framework for the Philippines: A Report of Preliminary Stakeholder Consultations and Review of Literature", this bill seeks to strengthen the country's innovation ecosystem and research practices towards the development of national innovation priority areas.

The report specifically recommends "...the creation of the National Center for AI Research (NCAIR) that would serve as the country's hub for AI Research. As specified in the Philippine National AI Strategy Roadmap, NCAIR will be also responsible for advancing AI research and development, including algorithmic innovations, and nurturing AI talent and Data Science leaders. It will serve as the central hub for R&D collaboration between the academe, industries, multinational companies, and AI Startups."

In July 2024, the Department of Trade and Industry (DTI) launched the National AI Strategy Roadmap (NAISR) 2.0, and the Center for AI Research (CAIR) at The Westin Manila, Mandaluyong City. NAISR 2.0 was launched to address significant barriers to AI adoption in the country, the challenges in developing effective data strategies, and the ambiguities surrounding AI regulation and legal frameworks.¹

To achieve these goals, NAISR 2.0 introduces a strategic framework centered on two pillars—Innovation and Implementation—and four key dimensions: research and development (R&D), infrastructure and digitization, workforce development, and AI ethics and governance. It identifies seven strategic imperatives and thirty (30) cross-agency tasks such as building internet infrastructure, improving data accessibility, reforming education, and incentivizing AI startups. The strategy underscores the role of CAIR operationalized in 2024, to serve as the country's AI hub, aligning academic, industry, and government R&D initiatives. Legislative support is needed to ensure sustained funding (targeting 1% of GDP on R&D), harmonize AI-related regulations, and institutionalize frameworks for responsible AI deployment.

¹ <https://dtiwebfiles.s3.ap-southeast-1.amazonaws.com/e-library/Main+Publications/What's+Up/2024/What's+Up+No.+26.pdf>

Hence, this bill which serves as a complementary bill to a regulatory framework legislation for AI, seeks the establishment of the NCAIR consistent with the National Artificial Intelligence Strategy for the Philippines.

In view thereof, immediate consideration of this bill is earnestly sought.


Keith Micah "Atty. Mike" D.L. Tan
4th District, Quezon

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Be it enacted by the Senate and the House of Representatives of the Philippines in Congress assembled:

CHAPTER I
GENERAL PROVISIONS

SEC. 1. *Short Title.* – This Act shall be known as the "Artificial Intelligence Development Act."

SEC. 2. *Declaration of Policy.* – The State recognizes that science and technology are essential for national development and progress. It shall support their application to the country's productive systems and national life and regulate the transfer and promote the adaptation of technology from all sources for national benefit. Towards this end, the State shall pursue the development of artificial intelligence (AI), including digitization and infrastructure, workforce development, and research and development with the end view of harnessing AI's potentials to uplift the lives of Filipinos, local industries, and the economy.

SEC. 3. *Definition of Terms.* – For purposes of this Act, artificial intelligence (AI) refers to the simulation of human intelligence in machines that are programmed to think like humans and mimic their actions.

CHAPTER II
NATIONAL CENTER FOR ARTIFICIAL INTELLIGENCE RESEARCH

SEC. 4. *Establishment of the National Center for Artificial Intelligence Research.*
– There is hereby established a National Center for Artificial Intelligence Research (NCAIR), which shall be attached to the Department of Science and Technology (DOST) for policy and program coordination and shall be headed by a Board composed of the following members:

(a) The Secretary of the Department of Science and Technology, who shall act as the chairperson;

- (b) The Secretary of the Department of Trade and Industry as co- chairperson;
- (c) One (1) representative from the Department of Information and Communications Technology;
- (b) One (1) representative from the Department of Labor and Employment;
- (c) One (1) representative each from the Department of Education and the Commission on Higher Education;
- (d) One (1) representative from the Department of Computer Science, University of the Philippines-Diliman;
- (e) Three (3) members representing professional or industrial artificial intelligence or information communications technology (ICT) organizations to be selected by the chairperson from among the list of nominees submitted by Philippines-based ICT professional organizations; and
- (f) Three (3) members representing non-governmental ICT or artificial intelligence advocacy organizations to be selected by the chairperson from among the list of nominees submitted by the country's non-governmental ICT organizations.

The Board may avail itself of the expertise and services of local or international resource persons who are of known expertise, knowledge, and/or skill during deliberative sessions.

The Board and its resource persons shall be entitled to such reasonable per diems, allowances, and honoraria as may be allowed under existing laws, rules, and regulations.

SEC. 5. *Functions of the NCAIR.* – The NCAIR shall be the primary policy- making and research body concerned with the development of artificial intelligence and allied emergent technologies in the country. It shall focus on studying, harnessing, advancing and/or transferring any beneficial AI creations or systems for the upliftment of Filipino innovators, workers, industries, businesses, and consumers. It shall also promote the education, training, and skills-development of Filipinos in this area for employment and professional advancement.

The NCAIR shall aim to capacitate enterprises to produce new products, processes, and services using AI. The NCAIR shall endeavor for AI to benefit every kind of industry to help minimize waste and spoilage, anticipate operational requirements by the use of predictive technology, enhance business decision-making through advanced analytics, and any other similar goal the Center may determine consistent with the declared policies of this Act and the provisions of Chapter IV.

SEC. 6. *Personnel.* – The personnel of the NCAIR shall be primarily staffed by Filipino scientists. The composition and size of such personnel shall be determined by the chairperson, who may create such offices, divisions, and units under the NCAIR as he may deem necessary, and for this purpose, the chairperson is authorized to adopt and implement the corresponding staffing patterns; Provided, however, that the positions, titles, and salaries of its officials and personnel shall be in accordance

with the position classifications and salary grades in the Civil Service Rules and the Salary Standardization Act.

CHAPTER III INNOVATION AGENDA

SEC. 7. *Role of the National Innovation Council.* – The National Innovation Council (NIC) created under Republic Act No. 11293, otherwise known as the “Philippine Innovation Act”, shall give priority to the development of artificial intelligence in the National Innovation Agenda and Strategy Development.

The NIC shall incorporate in its overall vision the strategies and objectives outlined in Chapter IV.

SEC. 8. *Government-Industry-Academe Synergy.* – To promote synergy among the government, the private sector, and the academe, the Secretary of Science and Technology, Director General of the National Economic and Development Authority, Secretary of Information and Communications Technology, Secretary of Trade and Industry, Secretary of Labor and Employment, Chairperson of the Commission on Higher Education, Secretary of Education, and the Executive Members of the National Innovation Council shall form an Artificial Intelligence sub- group under the NIC.

CHAPTER IV NATIONAL ARTIFICIAL INTELLIGENCE STRATEGY

SEC. 9. *Research and Development.* – The State shall endeavor to accelerate innovation with AI as well as master and push its boundaries; it shall help industries innovate, nurture and support AI startups, and transform institutions by:

(a) Developing competency in AI research as measured by publications, patents, and technology disclosures;

(b) Inviting international experts that can bring in new AI technologies and/or AI startup or business ideas;

(c) Providing funding for AI algorithmic innovations

(d) Strengthening academe-industry partnerships in AI research and development;

(e) Incentivizing Higher Educational Institutions to promote AI research and development internships with local private institutions;

(f) Creating quantifiable measures to track, coordinate, and improve government services and policies for industries;

(g) Strengthening technology transfer between Higher Educational Institutions or Research and Development Institutions with industry;

(h) Identifying and prioritizing sector-specific research and development projects that can maximize the impact of AI research;

(i) Tracking and analyzing the quality and quantity of jobs displaced, created, and/or transformed as a result of AI academe-industry partnerships;

(j) Identifying and supporting local AI startups;

(k) Developing state-owned venture funds to support AI startups;

(l) Incentivizing and encouraging investors to support promising AI businesses; and

(m) Supporting or co-hosting AI-themed competitions, events, and conventions.

SEC. 10. *Digitization and Infrastructure.* – The State shall improve data access and data value extraction, and build a robust networked environment by:

(a) Making internet accessible and affordable;

(b) Improving internet quality;

(c) Ensuring that the internet access of enterprises is reliable, secure, and at least within global averages;

(d) Ensuring government agencies and other public institutions serve as reliable areas for information access and transfer;

(e) Ensuring that Higher Educational Institutions and Research and Development Institutions have access to reliable and secure networks;

(f) Making public data open, freely available, and downloadable in digestible formats for ready analysis;

(g) Building a National Data Center (NDC) with a reliable and robust infrastructure and data management system;

(h) Encouraging government agencies, research institutions, and top universities, to maintain their own data centers linked with the NDC;

(i) Working with private institutions to link public and private datasets that will allow for integrated data search;

(j) Promoting and encouraging data analysis across all functions of businesses, industries, and government agencies;

(k) Promoting projects that would enable access to more sensitive datasets given clear social or business value; and

(l) Undertaking extensive and up-to-date training of analysts and data scientists to extract actionable insights from publicly available data.

SEC. 11. *Workforce Development.* – The State shall transform education and nurture future AI talents as well as upskill or reskill workers by:

- (a) Promoting data literacy for all;
- (b) Ensuring the proper training of teachers in Data Science and Analytics;
- (c) Developing graduate programs centered on data science and AI;
- (d) Increasing the number of graduate students in data science, AI, and business analytics;
- (e) Promoting lifelong learning and design learning pathways for out- of-school individuals;
- (f) Incorporating data science and analytics, including data visualization and storytelling, as general education courses in universities and colleges;
- (g) Working with technology companies to provide sufficient computing resources and equipment to students and teachers;
- (h) Incentivizing industries to offer learning and development programs that improve digital/data literacy;
- (i) Developing sector-specific curricula and/or stackable programs with varying degrees of specialization (low, medium, high);
- (j) Identifying industry-specific tools needed to help upskill the country's workforce;
- (k) Incentivizing industries to send employees for graduate studies that focus on research and development towards developing a scientific culture within organizations; and
- (l) Identifying jobs that are vulnerable to automation and other industry technologies and map the skills that need upgrading or retooling.

SEC. 12. *Job Displacement Program.* – In case a public or private employee is terminated due to the installation or implementation of artificial intelligence technologies or systems, rendering his or her position redundant, the worker affected shall be entitled to separation pay equivalent to at least his or her one (1) month pay or to at least one (1) month pay for every year of service, whichever is higher. A fraction of at least six (6) months shall be considered one (1) whole year. This is without prejudice to any higher benefit as may be provided by any existing law, rule, agreement, practice, or regulation.

The worker shall also be eligible for any unemployment benefits from the Social Security System or the Government Service Insurance System.

The Department of Labor and Employment shall create a Job Displacement Program that will aim to immediately assist and re-employ any workers involuntarily

terminated due to the installation or implementation of artificial intelligence technologies or systems. The NCAIR shall always strive to improve the skills, education, and knowledge of employees in sectors that are prone to AI replacement to protect them from any prolonged displacement.

CHAPTER V FINAL PROVISIONS

SEC. 13. *Appropriations.* – The amount necessary for the initial implementation of this Act shall be sourced from the current appropriations of the Departments part of the NCAIR. Thereafter, such sums as may be necessary for the continued implementation of this Act shall be included in the annual General Appropriations Act.

SEC. 14. *Implementing Rules and Regulations.* – The National Innovation Council shall issue within sixty (60) days from the effectivity of this Act the necessary rules and regulations for the effective implementation of this Act.

SEC. 15. *Repealing Clause.* – All laws, executive orders, proclamations, rules, regulations and other issuances or parts thereof which are inconsistent with the provisions of this Act are hereby repealed, amended, or modified accordingly.

SEC. 16. *Separability Clause.* – If any part or provision of this Act is held unconstitutional or invalid, other parts or provisions thereof which are not affected shall continue to remain in full force and effect.

SEC. 17. *Effectivity.* – This Act shall take effect fifteen (15) days following completion of its publication in the Official Gazette or at least two (2) newspapers of general circulation.

Approved,